

US Bond Market **Weekly Update**

10yr Treasury 5.18% ▲ 39 bps MTD	2yr Treasury 4.87% ▲ 48 bps MTD	IG OAS 79 bps ▼ 2 bps MTD	HY OAS 280 bps ▲ 15 bps MTD
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WORD ON THE DESK

Fixed income markets endured a bruising week as the confluence of persistent inflation, geopolitical shock, and a resolutely hawkish Fed continued to pressure duration assets across the curve. The broad sell-off — spanning Treasuries, investment-grade corporates, and high yield — underscores a regime in which the risk-free rate itself is the primary headwind to total returns, rather than spread widening alone. Portfolio managers should remain defensively positioned on duration while selectively harvesting carry in shorter-dated spread product, where all-in yields remain compelling even as price appreciation is constrained. Into quarter-end, supply technicals and potential geopolitical escalation represent the key tail risks to monitor.

MARKET COMMENTARY

01 The U.S. military strike on Iran — first reported in early September — continued to reverberate through fixed income markets into week-end, as oil-driven inflation fears kept upward pressure on yields and mortgage rates. The 10-year Treasury yield reached its highest level since 2025 in the wake of the event, with the 30-year mortgage rate spiking more than 11 basis points to 6.77%, tightening consumer credit conditions materially. The sustained geopolitical premium embedded in energy prices has meaningfully complicated the Fed's path back to target, raising the probability of an additional rate hike being priced into the front end.

→ A simultaneous global bond market sell-off, amplified by a Treasury Department intervention, compounded the shock, signaling that the stress was not idiosyncratic to U.S. markets but reflected broad fixed income repricing.

→ With the Iran situation unresolved, oil price volatility and its pass-through to headline CPI remain the most immediate upside risk to terminal rate expectations heading into Q4.

02 Treasury yields continued their ascent across the curve, with the 2-year note closing at 4.87%, the 10-year at 5.18%, and the 30-year at 5.47% [DATA: as of 2026-09-24]. The curve retained a modestly positive slope: the 2s10s spread stands at +31 basis points and the 2s30s spread at +60 basis points, a meaningfully steeper configuration than the inverted curves that characterized much of the prior tightening cycle. Year-over-year, the 10-year is 100 basis points higher than the 4.18% level recorded a year ago, reflecting the cumulative impact of sustained Fed hawkishness and elevated supply.

→ Month-to-date, the 2-year has risen 48 basis points from its 4.39% September open, while the 30-year has climbed 20 basis points from 5.27%, suggesting bear-flattening pressure at the front end relative to the long end — a dynamic consistent with a market repricing near-term policy rates higher.

→ The steepness of the 2s30s at +60 basis points may tempt some managers toward a curve steepener unwind, but the geopolitical and inflation risk premium at the long end argues for caution in adding long duration outright.

03 Investment-grade corporate credit demonstrated relative resilience on the spread side, with the IG OAS tightening 2 basis points month-to-date to 79 bps [DATA: as of 2026-09-24], as fundamentals and robust demand at elevated

all-in yields continued to anchor the asset class. However, total returns for IG corporates came in at -1.72% [DATA: as of 2026-09-24], a stark reminder that spread discipline cannot fully offset duration-driven price erosion in a rising rate environment. Quarter-end issuance dynamics deserve close attention, as corporate treasurers historically front-load supply ahead of the September 30 close.

→ The -2 bps MTD OAS move confirms that credit fundamentals remain sound and investor demand at 5%-handle all-in yields is absorbing new supply without meaningful concession — a constructive technical backdrop even as total returns suffer.

→ Should geopolitical risk escalate further or CPI surprise to the upside in October, IG spreads at 79 bps leave limited buffer against a re-rating of credit risk premiums toward the 90-100 bps range seen during prior stress episodes.

04 High-yield credit showed signs of strain, with HY OAS widening 15 basis points month-to-date to 280 bps [DATA: as of 2026-09-24], reflecting reduced risk appetite as rate volatility and geopolitical uncertainty weighed on the lower-quality tier of the credit spectrum. Total returns for HY corporates registered -1.50% [DATA: as of 2026-09-24], modestly outperforming IG on a total return basis — a function of HY's shorter effective duration — though the MTD spread widening signals deteriorating sentiment. At 280 bps, HY OAS remains historically tight in absolute terms, suggesting the market has not yet priced a meaningful recession or credit cycle turn.

→ The divergence between IG spreads tightening and HY spreads widening MTD is a classic risk-off signal within credit, often a leading indicator of broader de-risking if the trend persists into October.

→ Energy-sector HY credits warrant particular scrutiny given the oil price surge following the Iran strikes; while higher oil prices benefit energy issuer cash flows, the associated inflation and rate path implications are a net negative for lower-rated issuers with floating-rate liabilities.

05 Agency MBS and the broader securitized sector faced headwinds from the sharp move higher in rates, with the 30-year mortgage rate surging more than 11 basis points to 6.77% in the wake of the geopolitical shock — a development that further suppresses prepayment speeds and extends effective duration for MBS holders. While specific MBS OAS or excess return data are not available in this week's payload, the rate environment — with the 10-year at 5.18% — implies continued negative convexity drag and limited refinancing activity, keeping extension risk elevated. Current coupon MBS will likely require meaningful spread concession to attract incremental demand at these yield levels.

→ The spike in mortgage rates to 6.77% represents a direct transmission of Treasury market stress to consumer credit, with housing affordability implications that could weigh on economic activity and, paradoxically, eventually bring the Fed back toward a more accommodative stance.

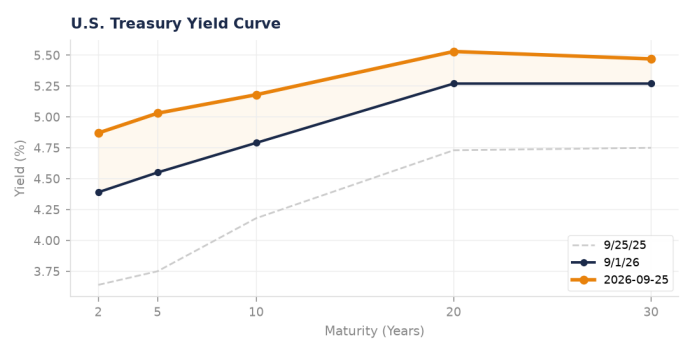
→ Managers overweight MBS relative to corporates should assess convexity profiles carefully; the combination of elevated rates and geopolitical volatility creates an environment where negative convexity is particularly costly.

06 Fed Chair Kevin Warsh struck a firmly hawkish tone in his September 16th commentary, stating that 'economic activity is expanding at a solid pace, inflation remains elevated, and today's policy action will support a timelier return to the inflation target' — framing the current tightening posture as both necessary and deliberate rather than reactive. Warsh's emphasis on 'timelier return' to target signals impatience with the pace of disinflation and suggests the Fed's reaction function is biased toward additional tightening should inflation data disappoint. With only one Fed speaker represented in this week's data, the Committee's full range of views on the geopolitical shock and its inflation implications will be a critical input for markets in the coming weeks.

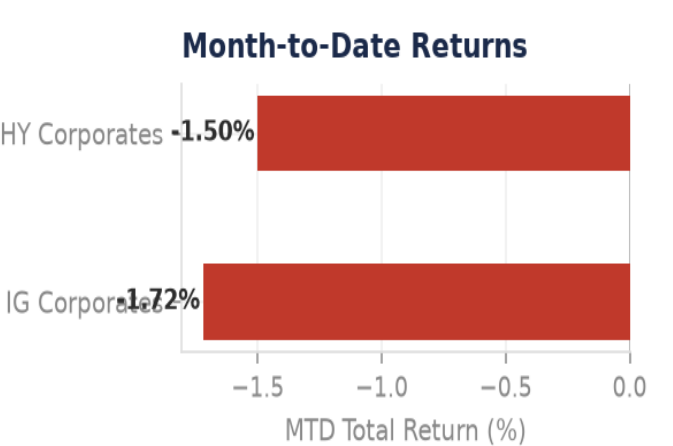
→ The Iran strike and subsequent oil price surge arrived after Warsh's September 16th remarks, meaning the Fed has not yet formally addressed the geopolitical shock in public communications — the next round of Fed speeches will be closely parsed for any revision to the policy trajectory.

→ Front-end rates at 4.87% on the 2-year already reflect elevated terminal rate expectations; any hawkish surprise in October CPI or Fed commentary could push the 2-year toward 5.00%-5.10%, further compressing carry opportunities in short-duration strategies.

MARKET DATA



	2yr	5yr	10yr	20yr	30yr
Yield (%)	4.87	5.03	5.18	5.53	5.47
MTD (bps)	+48	+48	+39	+26	+20



Sector	OAS (bps)	MTD Chg
IG Corporate	79	-2
HY Corporate	280	+15

DATA SOURCES

Series	Value	As Of	Source
2yr Treasury	4.87%	2026-09-24	FRED:DGS2
5yr Treasury	5.03%	2026-09-24	FRED:DGS5
10yr Treasury	5.18%	2026-09-24	FRED:DGS10
20yr Treasury	5.53%	2026-09-24	FRED:DGS20
30yr Treasury	5.47%	2026-09-24	FRED:DGS30
IG OAS	79.0 bps	2026-09-24	FRED:BAMLC0A0CM
HY OAS	280.0 bps	2026-09-24	FRED:BAMLH0A0HYM2
IG Corporates MTD Return	-1.72%	2026-09-24	FRED:BAMLCC0A0CMTRIV
HY Corporates MTD Return	-1.50%	2026-09-24	FRED:BAMLHYH0A0HYM2TRIV